

1.4 ITEMS INCLUDED AND EXCLUDED IN GDP

Multiple Choice Questions

1990/CE/II/39

Mr Wong is a second-hand car dealer. He bought a used car for \$20 000 which he immediately resold for \$25 000. By how much would the gross national product be increased after he sold the car?

- A. \$5 000
- B. \$20 000
- C. \$25 000
- D. \$45 000

1990/CE/II/49

The following were received by Mr A last year:

- (1) wages of \$10 000
- (2) public assistance of \$1 000
- (3) \$100 interest from his savings account
- (4) a Mark Six prize of \$8 000

His contribution to the GDP last year was

- A. \$10 000.
- B. \$10 100.
- C. \$11 100.
- D. \$19 100.

1991/CE/II/44

Which of the following is included when calculating Hong Kong's gross domestic product (GDP) by the expenditure approach?

- A. the compensation paid to Kowloon Walled City residents
- B. the expenditure incurred on buying a second-hand car
- C. the revenue earned from toys sold to Americans
- D. the revenue received by the government from taxation

1992/CE/II/45

Which of the following amounts should be included in the measurement of GDP?

- A. Mr. Chan sells his house, built two years ago, for \$2 000 000.
- B. Mr. Chan buys shares worth \$150 000.
- C. Mr. Chan wins a Mark Six prize of \$1 000 000.
- D. Mr. Chan receives a monthly salary of \$35 000.

1992/CE/II/47

A building which collapsed in a landslide at the beginning of the year was re-built at the end of the year. The GDP in that year

- A. increased
- B. decreased
- C. remained unchanged
- D. decreased at first and later increased

1992/CE/II/58

The expenditure by the Hong Kong government on Vietnamese boat people _____ included in Hong Kong's GDP because _____.

- A. should be goods and services are produced in Hong Kong
- B. should be part of the expenditure will be paid back by the United Nations
- C. should **NOT** be goods and services are spent on foreigners
- D. should **NOT** be Vietnamese boat people do not produce goods and services

1993/CE/II/35

Which of the following is included in the measurement of Hong Kong's Gross Domestic Product (GDP)?

- A. medical benefits of civil servants
- B. student travel subsidy
- C. dividends gained from overseas investments
- D. money won from betting in a horse race

1994/CE/II/32

Which of the following items should be included in Hong Kong's GDP for the current year?

- A. An investor buys shares on the local stock exchange.
- B. A British citizen receives a salary for teaching English in a school in Hong Kong.
- C. A student sells some used textbooks to his friend.
- D. A manufacturer sells last year's unsold stocks.

1995/CE/II/60

Which of the following will **NOT** be included in Hong Kong's GDP?

- A. profits earned by individual investors from buying and selling shares in the Hong Kong stock market
- B. bonuses paid by the Stock Exchange of Hong Kong Limited to its staff
- C. stamp duty levied on the shares bought and sold in the Hong Kong stock market
- D. commissions paid to the brokers for transactions in the Hong Kong stock market

1996/CE/II/27

Which of the following items is included in the calculation of Hong Kong's GDP?

- A. The government grant received by a university student.
- B. The salary received by a civil servant who is a foreigner working in Hong Kong.
- C. Interest to a loan paid by a firm in Hong Kong to a bank in Japan.
- D. Loans repayment made by the Hong Kong government to the Hong Kong Bank.

1997/CE/II/24

The following shows some assets of a farm. Which should be included in the calculation of investment expenditure of the GDP of this year?

- A. the expenditure on the ploughing of 10 acres of new farmland in spring this year
- B. the value of 10 tonnes of wheat stocked up since last year
- C. the settlement of a \$10 000 debt incurred as a result of repairing machines last year
- D. a recent expenditure on acquiring 10 000 units of government bonds in order to earn an annual interest of \$55 000

1997/CE/II/29

Which of the following events that occurred in 1996 would lead to a rise in the GDP of 1996?

- A. The government issued more Exchange Fund bills.
- B. The government increased the salaries tax allowance.
- C. The market value of accommodation units which were completed and sold in previous years rose continuously.
- D. An international corporation collected \$1 billion from the subscribers of its newly-issued shares.

1997/CE/II/60

Which of the following items is **NOT** included in the calculation of GDP?

- A. government spending of \$300 million on the employee retraining programme
- B. unemployment benefits of \$20 million paid by the government
- C. commission paid by a successful job searcher to an employment agency for job referral services
- D. salaries paid to the two extra posts created in the Labour Department to help job searchers

1998/CE/II/26

Which of the following would be considered as part of the national income?

- A. commissions received by salesmen selling second-hand cars
- B. a gift cheque to a bride for an invitation to her wedding banquet
- C. insurance compensation to injured workers
- D. scholarships to students with good results in schools

1999/CE/II/24

Which of the following should be included in the calculation of gross national product (GNP)?

- A. the value of newly issued shares sold
- B. the value of shares transacted in the stock market
- C. stamp duty paid for buying shares
- D. capital gain from selling shares

1999/CE/II/31

Which of the following \$1 million amounts is included in the calculation of Hong Kong's GDP?

- A. A famous singer holds a charity performance in Hong Kong and donates all the proceeds of \$1 million to the floods victims in Mainland China.
- B. A father transfers \$1 million worth of company shares to his daughter.
- C. A victim in a traffic accident receives a sum of \$1 million from the government as compensation for injury.
- D. An investor earns a capital gain of \$1 million from the sale of his flat.

2000/CE/II/33

Which of the following is included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the estimated rental value of an owner-occupied property in Hong Kong.
- B. the low-interest government loans to university students in Hong Kong
- C. the interest paid to foreign investors holding Exchange Fund bills
- D. the increase in the price of the shares issued by a bank in Hong Kong

2001/CE/II/50

Which of the following should **NOT** be included in the calculation of Hong Kong's GDP?

- A. the loans made by a local bank to its customers
- B. the tips received by a bellboy in a local hotel
- C. the 10% service surcharge collected by a local restaurant
- D. the income earned by a local hawkers.

2002/CE/II/49

Which of the following items should **NOT** be included in the calculation of Hong Kong's GDP?

- A. profit gained by a car agent from reselling second-hand cars
- B. compensation paid to a car owner for his loss in a traffic accident
- C. insurance premium for a car paid to a local insurance company.
- D. Income earned by a person from repairing cars

2004/CE/II/26

Which of the following should be included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the money received from the 'We Care Education Fund' by children who lost their parents to SARS
- B. the money received by a local property agent for this service in the resale of flats
- C. the money received by a local student from selling his used reference books to his schoolmates
- D. the money received by a local limited company from issuing new bonds in the market.

2005/CE/II/26

Which of the following items is included in the calculation of the gross domestic product (GDP) of Hong Kong?

- A. the salary receives by an American who works for a local television station as a reporter
- B. the money received by a local student from selling his mobile phone to his classmate
- C. the cash award won by a local citizen in a game show organized by a local television station
- D. the insurance compensation receives by a local construction worker for his injury

2006/CE/II/25

Which of the following \$5 million amounts is an investment expenditure in the national income accounting of Hong Kong?

- A. taking-over a company in Hong Kong by buying up \$5 million worth of shares
- B. purchasing \$5 million worth of 'Hong Kong Link' bonds (五隣一橋債券)
- C. depositing \$5 million into a licensed bank of Hong Kong
- D. spending \$5 million to turn a shopping mall car park in Hong Kong into shops

2007/CE/II/26

Which of the following statements about GDP is correct?

- A. GDP includes the value of imports.
- B. GDP is the total income of all the resident producing units.
- C. GDP is higher than gross national product if the net income from abroad is negative.
- D. GDP is the value of all goods and services transacted in the market.

2007/CE/II/27

Which of the following would be included in the GDP for 2005?

- A. Money deposited in a saving account during 2005
- B. The purchase price of an antique in 2005
- C. Public assistance paid to individuals during 2005
- D. The value of wheat produced but unsold in 2005

2015/DSE/I/24

Which of the following would be included in the calculation of Hong Kong's GDP for 2014?

- A. the old age allowance paid by the government in 2014
- B. the market value of a flat built in 2013 but sold in 2014
- C. the salary of a salesperson working in a shop selling second-hand handbags in 2014
- D. the rental income from a property in Canada owned by a Hong Kong resident producing unit in 2014

2018/DSE/I/24

Which of the following are included in the calculation of the gross domestic product of Hong Kong?

- (1) the estimated rental value of an owner-occupied property in Hong Kong
 - (2) the commission received by a real estate agent from selling second-hand property
 - (3) the scholarship received by a university student
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2023/DSE/I/24

Which of the following would be included in the calculation of Hong Kong's gross domestic product (GDP)?

- A. the value of a second-hand bicycle purchased by a student
- B. the commission earned by a broker from transactions of shares for his clients
- C. the capital gain earned by a household from reselling a residential property
- D. the allowance under the Comprehensive Social Security Assistance Scheme received by the needy

Short & Structured Questions

1992/CE/I/5(b)

Explain whether each of the following is included in the calculation of Hong Kong's gross domestic product.

- (i) public assistance paid to the unemployed by the Social Welfare Department
- (ii) salaries paid to the employees of the Social Welfare Department

(6 marks)

1993/CE/I/4(b)(i)

Suppose a large number of Japanese TV sets are smuggled from Hong Kong to China and sold for HK\$40 million.

Explain whether the whole amount of this HK\$40 million will be included in Hong Kong's GDP. Suggest **TWO** reasons.

(4 marks)

1995/CE/I/11(d)

In early 1995, Mr. Ip earned a commission of \$20 000 by helping Mr. A sell a flat to Miss B at a price of \$2 000 000. Explain whether each of the following statements is true or not:

- (i) The commission should be included in Hong Kong's GDP for 1995. (2 marks)
- (ii) If the flat is currently under construction and to be completed next year, the production of the flat contributes nothing to Hong Kong's GDP for 1995. (3 marks)

1996/CE/I/3(b)

Share prices of Vitasoy International Holdings Limited (維他奶國際集團有限公司) fell because some of its products were found to be contaminated and were destroyed.

Explain whether the value of these destroyed products would be included in the calculation of Hong Kong's gross national product. (2 marks)

1996/CE/I/4(a)

A traffic light, which was worth \$1 500, was knocked down in a traffic accident. The driver was fined \$ 3 000 and the government used \$2 000 to install another traffic light.

What is the change in the gross domestic product (GDP) at factor cost brought about by this incidence? Explain your answer. (2 marks)

1997/CE/I/8

Explain whether the following items should be included in the calculation of Hong Kong's gross domestic product (GDP):

- (a) sewage charges
- (b) the increased resale value of residential units due to a boom in the property market

(4 marks)

1998/CE/I/9(d)

Mr. Wong paid a commission of \$1 000 to the broker who helped him buy \$200 000 worth of shares. Explain whether these two items of payment would affect Hong Kong's gross domestic product (GDP). (4 marks)

1999/CE/1/7

Explain whether the following items should be included in the calculation of Hong Kong's gross national product.

- (a) the funds raised from the Millionwalk (2 marks)
- (b) the part of the public assistance which the needy spent on transport (2 marks)

2000/CE/1/9(b)(ii)

Some petroleum companies complained that their business was affected because some drivers bought gasoline from smugglers who evaded import duties.

Explain how the smuggling of gasoline would affect the GDP of this economy. (4 marks)

2000/CE/1/10(b)(iii)

Suppose Bank X of economy A takes over Bank Y of economy B by buying up its controlling shares worth \$5 million.

Explain whether the \$5 million mentioned above should be included in the calculation of the GDP of economy B. (3 marks)

2001/CE/1/11(a)(ii)

Hong Kong's property market has been depressed since 1998. Explain how a sharp fall in property prices and in the number of property transactions would affect Hong Kong's GDP. (5 marks)

2002/CE/1/11(a)(ii)

The following shows the gross domestic product (GDP) data of economy A in a certain year.

	\$million
Private consumption expenditure	400
Net investment expenditure	180
Government consumption expenditure	250
Exports	500
Imports	650
Depreciation	150
Indirect business tax	50
Interest	200

Miss Wong, an Economics teacher in a tutorial school, tells her students that the total spending of economy A's consumers in market value must be greater than \$400 million. Give **THREE** reasons to explain why she is correct. (6 marks)

2003/CE/1/11(a)

Many information technology (IT) companies in Hong Kong have closed down in recent years.

Explain whether each of the following should be included in the calculation of Hong Kong's GDP.

- (i) the resale value of the furniture and equipment of the above companies (2 marks)
- (ii) the fee paid to Hong Kong accounting firms in liquidating the above companies (3 marks)

2006/CE/1/10(b)

Date	Exchange rate
1 December 2005	€1 = HK\$ 9.07
18 January 2006	€1 = HK\$ 9.37

Through a commercial bank, Mr Chan bought 10 000 Euros on 1 December 2005 and sold them on 18 January 2006 at the rates shown in the above table.

- (i) Calculate Mr Chan's gain / loss (in terms of HK\$) in the above transactions. Explain whether this gain / loss should be included in the calculation of Hong Kong's GDP. (4 marks)
- (ii) Explain whether the above transactions would lead to an increase in Hong Kong's GDP. (2 marks)

2008/CE/1/9(a)

The stock market of an economy is overheated. Many people withdraw money from their bank deposits to buy shares.

Harry bought the shares of a company at a value of \$2 000 at the beginning of the year and sold them at \$10 000 three months later. He has a capital gain of \$8 000.

Explain whether this amount of \$8 000 should be included in the calculation of the GDP of the economy. (2 marks)

2009/CE/1/9(c)

Some students purchase second-hand textbooks in bookstores. Explain why part of their total spending on buying second-hand textbooks should be included in the calculation of GDP. (2 marks)

2012/DSE/II/10(a)(i)

In 2011, the Financial Secretary announced the "Scheme \$6 000" which provides \$6000 to each Hong Kong permanent resident who is 18 years old or above.

Mr. Chan is a retired person and received \$6000 through the scheme in 2011. Should this item of payment by the government be included in the calculation of Gross Domestic Product of Hong Kong in 2011? Explain. (2 marks)

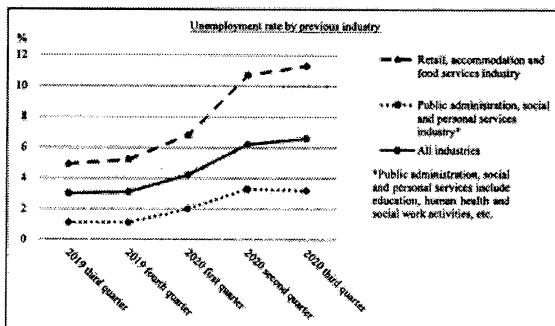
2015/DSE/II/9(d)

In July 2014, McDonald's was accused of using expired meat as an ingredient for its food. Later, the related products were destroyed. Explain whether the value of these destroyed products would be included in the calculation of Hong Kong's gross domestic product. (2 marks)

2022/DSE/II/11(b)

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

	AlipayHK  AlipayHK	Octopus  八達通 Octopus	Tap & Go  Tap & Go	WeChat Pay HK  WeChat Pay®
Public Transportation with the above payment facilities installed	MTR, bus, mini bus and ferry	MTR bus, mini bus and ferry	Bus and mini bus	None
Promotions to consumption voucher users	5e-coupons	First 2 million registered customers enjoy \$18 of stored value	\$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50	e-coupons

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

A housewife 	I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!
A former chef in a restaurant 	I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.
A doctor working in a public hospital 	Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.

- (b) Refer to Source B. Would the \$5 000 distributed under the Consumption Voucher Scheme be included in the calculation of government consumption expenditure? Explain your answer. (2 marks)

2023/DSE/II/10(d)

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

- (d) The government issued \$45 billion worth of Silver Bonds in 2022. Explain whether this \$45 billion was included in the calculation of Hong Kong's GDP in 2022. (2 marks)

2024/DSE/II/11(c)

Ann is the owner of a coffee shop in Hong Kong.

- (c) Ann invited a famous barista from Japan to provide a workshop for her customers. The barista received a remuneration of \$30 000 from Ann's coffee shop and stayed in Hong Kong for a week. Explain how this \$30 000 would affect Hong Kong's net factor income from abroad. (3 marks)